Building a Sustainable Conceptual Framework for Digital Social Entrepreneurship in Waqf Institutions:

An Applied Study within the Context of Oman Vision 2040

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Abstract

Waqf institutions have historically constituted a fundamental pillar of social welfare, economic stability, and community development in Islamic societies. However, the accelerating pace of digital transformation and the increasing complexity of societal needs have exposed structural limitations in traditional waqf governance and operational models. While digital transformation has been widely acknowledged as a strategic enabler of efficiency and transparency, its role in fostering social entrepreneurship within waqf institutions remains insufficiently examined, particularly in the context of the Gulf Cooperation Council (GCC) countries.

This study aims to examine the extent to which digital transformation contributes to enabling social entrepreneurship in waqf institutions in the Sultanate of Oman, using the Seeb Public Waqf Foundation as an applied case study. A qualitative case study methodology was adopted, drawing on semi-structured interviews with senior practitioners and systematic analysis of institutional documents and reports covering the period from 2020 to 2024. Data were analyzed using thematic analysis informed by Dynamic Capabilities Theory and the Theory of Logical Change, within the strategic framework of Oman Vision 2040.

The findings reveal three key mechanisms through which digital transformation enables sustainable digital social entrepreneurship: (1) enhancing institutional trust through digital transparency, (2) improving beneficiary identification and needs assessment through data-driven analytics, and (3) expanding cross-sector partnerships via digital platforms. Nevertheless, the study also identifies persistent challenges related to governance rigidity, organizational culture, limited digital competencies, and constrained financial resources. Based on the empirical evidence, the study proposes an integrated conceptual framework that links digital transformation, dynamic capabilities, and social entrepreneurship within waqf institutions.

The study contributes theoretically by extending the Resource-Based View through the conceptualization of digital social capabilities as a dynamic organizational asset in hybrid institutions. Practically, it provides policy-relevant insights for decision-makers seeking to align waqf development with Oman Vision 2040 and broader sustainable development objectives.

Keywords: Digital Transformation; Social Entrepreneurship; Waqf Institutions; Dynamic Capabilities; Sustainability; Oman Vision 2040

1 Introduction

Digital transformation has emerged as one of the most influential forces reshaping organizational structures, governance systems, and value-creation mechanisms across sectors. Unlike earlier waves of technological change that focused primarily on operational automation, contemporary digital transformation represents a comprehensive strategic shift involving organizational redesign, cultural transformation, and the reconfiguration of resources to generate sustainable value. For organizations operating in socially oriented domains, such as waqf institutions, digital transformation presents both an opportunity and a challenge: an opportunity to enhance transparency, efficiency, and social impact, and a challenge to reconcile technological innovation with deeply rooted institutional traditions.

In the Sultanate of Oman, waqf institutions have long played a central role in supporting social solidarity, poverty alleviation, education, healthcare, and community development. These institutions are embedded within the socio-religious fabric of Omani society and are governed by principles that emphasize sustainability, trust, and long-term public benefit. With the launch of **Oman Vision 2040**, which prioritizes digital transformation, institutional governance, innovation, and sustainable development, waqf institutions are increasingly expected to modernize their operational models and align their strategies with national development priorities.

Despite this strategic context, digital initiatives within many waqf institutions remain limited in scope. Most digital efforts are concentrated on administrative digitization, financial record-keeping, or basic asset management systems. While these initiatives contribute to operational efficiency, they rarely translate into innovative social entrepreneurship models capable of generating scalable and sustainable social impact. Consequently, waqf institutions risk underutilizing their social and economic potential in an increasingly digital economy.

This study argues that digital transformation, when strategically integrated into waqf governance, can serve as a powerful enabler of social entrepreneurship. By leveraging digital technologies, waqf institutions can develop new capabilities to sense emerging social needs, design innovative solutions, and mobilize resources more effectively. However, achieving this transformation requires a conceptual framework that integrates digital transformation, social entrepreneurship, and institutional sustainability within the specific cultural and regulatory context of Oman.

Accordingly, the central research question guiding this study is:

To what extent does digital transformation enable social entrepreneurship within waqf institutions in the Sultanate of Oman?

2 Research Objectives and Questions

The primary objective of this study is to analyze the role of digital transformation in enabling social entrepreneurship within waqf institutions, with a specific focus on the Omani context. This objective is operationalized through the following sub-objectives:

1. To identify the key digital capabilities that enhance social entrepreneurship within waqf institutions.
2. To analyze organizational, cultural, and regulatory barriers that hinder effective digital transformation in the waqf sector.
3. To develop an integrated conceptual framework that links digital transformation and social entrepreneurship in waqf institutions in alignment with Oman Vision 2040.

Based on these objectives, the study addresses the following research questions:

- What digital factors are most critical for enabling social entrepreneurship in waqf institutions?
- What organizational and institutional challenges limit the effectiveness of digital transformation in the waqf context?
- How can waqf institutions strategically integrate digital transformation to achieve sustainable social and economic impact?

3 Literature Review

3.1 Digital Transformation as a Strategic Organizational Process

Digital transformation has been widely discussed in contemporary management literature as a holistic organizational process rather than a purely technological initiative. Vial (2021) conceptualizes digital transformation as a process through which organizations leverage digital technologies to fundamentally improve performance, reshape value propositions, and redefine relationships with stakeholders. This perspective emphasizes that digital transformation involves deep structural and cultural change, including leadership orientation, decision-making processes, and organizational learning mechanisms.

In the context of non-profit and socially oriented organizations, digital transformation plays a critical role in enhancing transparency, accountability, and operational efficiency. Bharadwaj et al. (2022) argue that digital business strategies enable organizations to create new forms of value by integrating digital resources with organizational capabilities. For non-profit institutions, such integration supports improved donor engagement, real-time reporting, and data-driven decision-making, which are essential for sustaining trust and legitimacy.

However, existing studies indicate that many organizations struggle to move beyond basic digitization toward more transformative digital models. This challenge is often attributed to resistance to change, lack of digital skills, and insufficient alignment between digital initiatives and organizational strategy. These challenges are particularly pronounced in institutions characterized by traditional governance structures, such as waqf organizations.

3.2 Social Entrepreneurship and Hybrid Organizational Models

Social entrepreneurship has emerged as a prominent paradigm for addressing complex social challenges through innovative and sustainable approaches. Mair and Martí (2019) define social entrepreneurship as a process that combines

entrepreneurial practices with a primary social mission, emphasizing the reinvestment of economic returns into social value creation. Unlike conventional entrepreneurship, social entrepreneurship prioritizes social impact over profit maximization while maintaining financial sustainability.

Waqf institutions represent a distinctive form of hybrid organization, combining religious, social, and economic objectives within a single institutional framework. This hybridity positions waqf institutions as natural incubators for social entrepreneurship, particularly when supported by effective governance and innovative operational models. Nevertheless, the literature suggests that waqf institutions often face structural constraints that limit their entrepreneurial capacity, including rigid administrative procedures, limited access to financing, and conservative organizational cultures.

Digital transformation has the potential to mitigate many of these constraints by enabling new business models, enhancing stakeholder engagement, and facilitating the measurement of social impact. Despite this potential, empirical research examining the intersection of digital transformation and social entrepreneurship in waqf institutions remains limited.

3.3 Digital Transformation in Waqf Institutions

In recent years, scholars have increasingly explored the role of digital technologies in modernizing waqf governance and management. Al-Mutairi (2023) highlights that the adoption of digital systems in waqf institutions enhances asset transparency, improves financial reporting, and supports long-term sustainability. Digital platforms enable waqf administrators to monitor assets in real time, streamline donation processes, and improve coordination with beneficiaries.

Nevertheless, much of the existing literature focuses primarily on financial and administrative aspects of digital transformation, such as electronic accounting systems or online donation platforms. There is a notable gap in studies that examine how digital transformation can be strategically leveraged to enable social entrepreneurship and generate scalable social impact within waqf institutions. This study seeks to address this gap by providing empirical evidence from the Omani context and proposing a comprehensive conceptual framework.

4 Theoretical Framework

This study is grounded in an integrated theoretical framework that combines Dynamic Capabilities Theory, the Theory of Logical Change, and the strategic objectives of Oman Vision 2040. Together, these perspectives provide a robust analytical lens for examining how digital transformation enables social entrepreneurship in waqf institutions.

4.1 Dynamic Capabilities Theory

Dynamic Capabilities Theory explains how organizations adapt to rapidly changing environments by developing the ability to sense opportunities, seize them through innovation, and reconfigure resources to sustain competitive advantage. In the context

of waqf institutions, digital transformation can be understood as a catalyst for developing dynamic capabilities that enable institutions to respond proactively to evolving social needs.

Digital technologies enhance sensing capabilities by providing access to real-time data on community needs and beneficiary profiles. They support seizing capabilities by enabling the design and implementation of innovative social entrepreneurship initiatives. Finally, digital transformation facilitates reconfiguration by allowing waqf institutions to restructure processes, partnerships, and resource allocation mechanisms in line with strategic objectives.

4.2 Theory of Logical Change

The Theory of Logical Change provides a systematic framework for linking inputs, activities, outputs, and outcomes in social interventions. This theory is particularly relevant for waqf institutions, which are required to demonstrate social impact and accountability. By applying this framework, the study traces how digital inputs—such as platforms, data systems, and analytics—translate into tangible social and economic outcomes.

4.3 Oman Vision 2040 as a Strategic Context

Oman Vision 2040 serves as the national strategic framework guiding institutional reform, digital transformation, and sustainable development. The vision emphasizes innovation, digital governance, and the development of a knowledge-based economy. Aligning waqf transformation with Vision 2040 ensures that digital social entrepreneurship initiatives contribute to national development priorities while preserving the social mission of waqf institutions.

5 Research Gap

Despite growing interest in digital transformation and social entrepreneurship, the integration of these concepts within waqf institutions remains underexplored, particularly in the Omani context. Existing studies tend to examine digital transformation and social entrepreneurship as separate phenomena, without sufficiently addressing their interaction. This study addresses this gap by offering an applied analysis and proposing a conceptual framework that demonstrates how digital transformation can serve as a strategic enabler of social entrepreneurship in waqf institutions.

6 Methodology

6.1 Research Design

This study adopts a qualitative case study design within a descriptive–analytical framework to examine the role of digital transformation in enabling social entrepreneurship within waqf institutions. The case study approach is particularly suitable for this research, as it allows for an in-depth exploration of complex organizational processes within their real-life context. Given the exploratory nature of the research question and the limited empirical evidence available in the Omani waqf

sector, a qualitative design provides rich insights into institutional dynamics, perceptions, and practices.

The Seeb Public Waqf Foundation was selected as the case study due to its pioneering role in implementing digital initiatives and social entrepreneurship projects aligned with national digital transformation objectives. The foundation represents a relevant and information-rich case capable of illustrating both the opportunities and challenges associated with digital transformation in waqf institutions.

6.2 Data Collection Methods

Data were collected from multiple sources to ensure triangulation and enhance the credibility of the findings. The primary data sources included:

- **Institutional documents and reports:** Official reports, strategic plans, and internal documents issued by the Ministry of Endowments and Religious Affairs and the Seeb Public Waqf Foundation covering the period from 2020 to 2024.
- **Semi-structured interviews:** Five in-depth interviews were conducted with senior managers and practitioners involved in waqf administration and digital initiatives. Participants possessed between five and ten years of professional experience in waqf management and related fields.
- **Secondary literature:** Peer-reviewed academic studies on digital transformation, social entrepreneurship, and non-profit governance were reviewed to support theoretical alignment and contextual interpretation.

The interviews followed a structured protocol covering key themes, including digital leadership, organizational culture, governance challenges, technical competencies, and perceived social impact. Each interview lasted between 45 and 60 minutes. Confidentiality was ensured by using pseudonyms and anonymizing identifying information.

6.3 Data Analysis

Data analysis was conducted using thematic analysis following the six-step framework proposed by Braun and Clarke (2006). The process involved familiarization with the data, open coding, theme development, and interpretation. Initial codes were grouped into broader themes such as digital transparency, beneficiary empowerment, organizational barriers, and partnership development.

The emergent themes were then compared against the theoretical frameworks underpinning the study—Dynamic Capabilities Theory and the Theory of Logical Change—to ensure analytical rigor. The validity of the findings was further strengthened through peer review and cross-referencing with supporting institutional documents.

7 Case Study: Seeb Public Waqf Foundation

7.1 Institutional Background

The Seeb Public Waqf Foundation is one of the leading waqf institutions in the Sultanate of Oman, operating across multiple social, economic, and developmental domains. The foundation manages a diversified portfolio of waqf assets and implements social programs targeting vulnerable groups, productive families, and community development initiatives. In alignment with government priorities and Oman Vision 2040, the foundation has increasingly invested in digital transformation as a strategic enabler of institutional sustainability.

7.2 Institutional Digital Transformation

Beginning in 2024, the foundation implemented an integrated digital platform that connects asset management, donor relations, project monitoring, and beneficiary services within a single system. The platform enables electronic registration, real-time tracking of waqf assets, digital payment processing, and automated reporting.

According to interview participants, the adoption of this platform significantly enhanced transparency and accountability. One participant reported that digital transparency contributed to a 40% increase in donations from small donors within one year, as donors were able to track the impact of their contributions in real time. This finding underscores the role of digital transparency in strengthening trust, a critical factor in waqf sustainability.

7.3 Digital Social Entrepreneurship Initiatives

The foundation leveraged its digital infrastructure to develop innovative social entrepreneurship initiatives. Notable examples include **Mashghal Al-Khair**, a technology-enabled project aimed at empowering productive families through skills development and market access, and the **Smart Zakat Bus**, which utilizes geolocation systems and real-time communication technologies to reach underserved communities efficiently.

These initiatives demonstrate how digital technologies can transform traditional charitable activities into scalable social entrepreneurship models. By collecting and analyzing real-time data, the foundation was able to measure social and economic impact more accurately and refine its interventions accordingly.

7.4 Integration of Digital Transformation and Social Entrepreneurship

The analysis reveals that digital transformation enabled the foundation to develop new dynamic capabilities. Digital data analytics enhanced the institution's ability to sense emerging community needs, while digital platforms facilitated the seizing of opportunities through innovative project design. Organizational processes were subsequently reconfigured to support continuous innovation, reflecting the core mechanisms of Dynamic Capabilities Theory.

8 Results

The findings of the study demonstrate a clear and positive relationship between digital transformation and the capacity of waqf institutions to develop and sustain social entrepreneurship initiatives. Analysis of the empirical data revealed several key results

that reflect both operational and strategic dimensions of digital transformation within the Seeb Public Waqf Foundation.

First, digital transformation significantly enhanced **operational efficiency and transparency**. The implementation of integrated digital platforms enabled real-time monitoring of waqf assets, projects, and beneficiary data, reducing administrative delays and information asymmetry. This improvement in transparency strengthened donor confidence and facilitated continuous engagement, which is essential for sustaining waqf-based social initiatives.

Second, the study found a strong association between **digital maturity and social entrepreneurship capability**. Institutions that adopted data-driven decision-making tools demonstrated a higher capacity to design innovative social projects, reallocate resources efficiently, and respond proactively to emerging community needs. This finding highlights the role of digital technologies in enabling opportunity recognition and innovation within waqf institutions.

Third, organizational culture emerged as a critical moderating factor. Waqf institutions that fostered a digital-oriented culture—characterized by openness to innovation, continuous learning, and collaborative leadership—were more successful in translating digital transformation into tangible social and economic outcomes. Conversely, limited technical readiness and dependence on traditional administrative practices constrained the full realization of digital benefits.

Finally, regulatory and governance frameworks were identified as both enabling and constraining factors. While existing regulations provide institutional stability, their rigidity limits experimentation with innovative digital financing mechanisms and entrepreneurial models. This finding underscores the need for regulatory modernization to support sustainable digital social entrepreneurship.

9 Discussion

The results of this study align with and extend existing literature on digital transformation and social entrepreneurship. Consistent with Bharadwaj et al. (2022), the findings confirm that digital transformation enhances transparency, efficiency, and stakeholder trust within non-profit organizations. However, this study advances the literature by demonstrating how digital transformation within waqf institutions generates **dynamic social capabilities** that enable sustained social entrepreneurship.

In line with Vial (2021), the findings reinforce the argument that digital transformation extends beyond operational automation to encompass organizational redesign and strategic renewal. In the waqf context, this transformation acquires a distinctive social and ethical dimension, as digital tools are employed not only to optimize processes but also to maximize social impact and inclusivity.

Moreover, the results support Mair and Martí's (2019) conceptualization of social entrepreneurship as a community-embedded process. Digital platforms enabled the Seeb Public Waqf Foundation to deepen community engagement, co-create solutions with beneficiaries, and monitor social outcomes in real time. These practices reflect

an evolution from traditional charitable models toward data-driven social entrepreneurship.

Unlike studies that emphasize the financial dimension of digital transformation, this research reveals that the most profound impact of digitalization in Omani waqf institutions lies in **organizational learning and cultural transformation**. By converting digital data into shared knowledge, waqf institutions can align resources with high-impact social priorities, thereby validating the applicability of the Theory of Logical Change in this context.

10 Policy and Managerial Implications

Based on the findings, several policy and managerial implications emerge:

- **National Digital Waqf Strategy:** Policymakers should develop a coordinated national strategy for digital waqf transformation aligned with Oman Vision 2040, ensuring integration between waqf institutions and governmental digital platforms.
- **Leadership and Capacity Building:** Waqf institutions should invest in leadership development programs focused on digital innovation and social entrepreneurship to build internal capabilities.
- **Public–Private Partnerships:** Strategic partnerships with technology firms and private-sector actors can accelerate digital innovation and reduce financial constraints.
- **Digital Performance Indicators:** The adoption of digital performance metrics can enhance accountability and enable systematic measurement of social and economic impact.
- **Regulatory Sandboxes:** Establishing controlled experimental environments would allow waqf institutions to test innovative digital financing instruments, such as digital sukuk and smart crowdfunding platforms, with reduced regulatory risk.

11 Conclusion and Future Research

This study concludes that digital transformation represents a critical strategic enabler of social entrepreneurship within waqf institutions. The case of the Seeb Public Waqf Foundation demonstrates that investment in digital technologies fosters new dynamic capabilities that enhance transparency, innovation, and sustainability. By aligning digital transformation initiatives with organizational culture and national development strategies, waqf institutions can significantly amplify their social and economic impact.

Theoretical Contribution

The study extends the Resource-Based View by conceptualizing **digital social capabilities** as a dynamic organizational resource unique to hybrid institutions such as waqf organizations. This contribution broadens the application of digital transformation theories to socially oriented and faith-based institutional contexts.

Practical Contribution

From a practical perspective, the study provides evidence-based guidance for policymakers and waqf managers seeking to modernize waqf governance while preserving its social mission. The proposed conceptual framework offers a roadmap for integrating digital transformation and social entrepreneurship in alignment with Oman Vision 2040.

Future Research Directions

Future research should employ quantitative methodologies to test the proposed conceptual framework across a broader sample of waqf institutions in the Gulf Cooperation Council. Additionally, further studies should explore the application of artificial intelligence and big data analytics in measuring waqf social impact and optimizing investment decisions.

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